



Market bifurcations in board sports: How consumers shape markets through boundary work

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ABSTRACT

The market-shaping literature recognizes that consumers are actors who can shape markets. However, research into the mechanisms of consumption-driven market-shaping is only emerging. This paper shows that one way in which consumers shape markets is through boundary work, as consumers make, break, and re-make the boundaries among multiple markets. Empirically, this paper investigates how user innovation practices catalyzed the formation of four board sport markets: surfing, kitesurfing, windsurfing, and stand-up-paddling. The findings show that consumers shape markets in three steps: (1) generating local variations of consumption practices; (2) imposing order and coherence to intermediate frames; and (3) channeling creative consumption practices into market formation. This paper contributes to the market-shaping literature by conceptualizing how consumers splinter an existing singular market into new markets. We coin the term ‘market bifurcations’ to describe how a singular, seemingly cohesive consumer practice breaks down, splintering into several local variations, which can then catalyze the formation of new markets.

1. Introduction

Market-shaping is an empirical phenomenon in which market actors transform their business landscape rather than only reacting to it (Maciel & Fischer, 2020; Nenonen, Storbacka, & Windahl, 2019). For scholars investigating market-shaping, markets are complex adaptive systems that can be the subject of innovation (Araujo, 2007; Kjellberg, Azimont, & Reid, 2015; Nenonen et al., 2014). Examples of market-shaping acts include the creation of derivatives in financial markets (MacKenzie, 2006), reconfiguring petrol stations into service stations (Azimont & Araujo, 2007), and normalizing gambling from illegal to legitimate (Humphreys, 2010).

As the literature on market-shaping grows, we learn more about the different market-shaping actors (Kindström, Ottosson, & Carlborg, 2018), which include not only firms (Baker & Nenonen, 2020) and regulators (Depeyre & Dumez, 2009), but also consumers (Giesler & Fischer, 2017; Hietanen & Rokka, 2015; Martin & Schouten, 2014). Consumers shape markets in multiple ways (Harrison & Kjellberg, 2016), including through acts of creative consumption in which consumers generate new music genres (Dolbec, 2015), sports (Diaz Ruiz, Peñaloza, & Holmqvist, 2020), or hobbies (Martin & Schouten, 2014). Consumers shape markets by challenging online exchange practices for music (Giesler, 2008), disintermediating market actors like the music

producer (Hietanen & Rokka, 2015), or developing infrastructure for a new sports category (Martin & Schouten, 2014), among other examples. However, while consumers can generate effects in markets, it remains unclear how consumption practices intertwine with market-shaping. To be precise, current studies lack a comprehensive conceptualization of how consumers shape markets.

This paper addresses the research gap by investigating one specific mechanism through which consumers shape markets – *boundary work* (Star & Griesemer, 1989). This term emphasizes the work required for making, maintaining, and redressing the demarcations in-between multiple markets, plural (Chimenti, 2020; Ellis, Jack, Hopkinson, & O'Reilly, 2010). Indeed, one premise of market-shaping is the existence of various markets (Diaz Ruiz, 2013; Mele, Pels, & Storbacka, 2015), each one featuring distinct yet overlapping organizing practices (Kjellberg & Helgesson, 2007). However, distinguishing markets from one another is challenging (Kjellberg & Olson, 2017). As Frankel (2018, p.461) writes, “singling out a particular market as an object of inquiry raises not least questions of what is implied by ‘market’ in this particular situation and to whom it is a market.” If Frankel (2018) is correct, then one limitation of the market-shaping literature is that the construction and maintenance of market boundaries are often invoked rather than analyzed, especially when consumers participate. In consequence, we ask: *How do consumers use boundary work to shape markets?*

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